

years of Bitcoin mining, people used central processing units (CPUs), which are the core chips in personal computers, effectively forcing the computers to be used solely for mining purposes. In 2010, people after greater efficiency began using the graphic card (GPU) of an existing computer for the mining process.

Many, including Lee, anticipated a shift to yet more dedicated and specialized mining devices called ASICs (application-specific integrated circuits). ASICs required custom manufacturing and specifically designed computers. As a result, Lee correctly foresaw that bitcoin mining would ramp beyond the reach of hobbyist miners and their homegrown PCs.

Lee wanted a coin that retained its peer-to-peer roots and allowed users to be miners without the need for specialized and expensive mining units. Litecoin accomplished this by using a block hashing algorithm called *scrypt*, which is memory intensive and harder for specialized chips like ASICs to gain a significant edge upon.

Other than these two tweaks, much of Litecoin remained similar to Bitcoin.

The innovative investor will have realized, however, that if blocks are issued four times as fast as bitcoin, then the total amount of litecoin released will be four times greater than that of bitcoin. This is exactly the case, as litecoin will converge upon a fixed 84 million units, whereas bitcoin will converge upon a quarter of that, at 21 million units.¹⁹ Lee tweaked the halving characteristics, too, so that a halving occurs at 840,000